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Diversification over Space and Time

> *"…It is a good idea to allocate most of my 401(k) account to my own company's stock, since I can keep an eye on things here and the stock price has been doing really well, lately…."*
>
> Myth #3

The famous economist John Maynard Keynes was once quoted as saying that he did not believe in diversifying his investments. He felt that the best investment strategy was to buy a few good stocks, and just hold on to them. In stark contrast, Peter Lynch, the legendary Fidelity Investments guru, is rumored at one point to have owned more than 1,000 different stocks as part of Fidelity's mutual fund portfolio.

Keynes's comments aside (how do you find those few good stocks?), by now it is accepted wisdom that diversifying your investments makes good strategic business sense. The Nobel committee has awarded quite a number of prizes to economists who developed and furthered these ideas about diversification during the last thirty years. Yet, the idea, "Don't put all your eggs in one basket," was a philosophy preached long before the emergence of modern portfolio theory. In fact, the Babylonian Talmud, compiled more than 2,000 years ago, recommends that a person split his wealth into three parts. One-third should be placed in real estate, one-third in money, and the remaining third in business assets, which I liberally interpret to include equities. Overall, not bad investment advice, especially if you could have followed it for the last 2,000 years.